

SUBCONTRACT AGREEMENT

This Subcontract Agreement ("Agreement") is entered into between Cascade Ridge Construction ("Contractor") and Summit Mechanical Services LLC ("Subcontractor") for work on the Lakeview Medical Office project located in Bellingham, WA.

1. SCOPE OF WORK

Subcontractor shall furnish all labor, materials, and equipment necessary to complete the HVAC and plumbing rough-in for the Lakeview Medical Office, in accordance with the Contract Documents and the project schedule.

2. TERM

This Agreement shall commence on the Effective Date and shall remain in effect until Subcontractor's work is finally completed and accepted, but in no event later than eighteen (18) months from the Effective Date, unless extended by written change order signed by both parties.

3. PAYMENT

Contractor shall pay Subcontractor for work satisfactorily completed within thirty (30) days following Contractor's receipt of Subcontractor's approved monthly application for payment. Contractor shall retain five percent (5%) of each progress payment as retainage, to be released within sixty (60) days of final acceptance.

4. TERMINATION

Contractor may terminate this Agreement, in whole or in part, for its convenience upon seven (7) days written notice to Subcontractor. Contractor may terminate for cause immediately if Subcontractor fails to cure a material default within three (3) days of written notice. Upon termination, Subcontractor shall be paid for work properly performed through the date of termination.

5. INSURANCE

Subcontractor shall maintain commercial general liability insurance with limits of not less than \$1,000,000 per occurrence and shall name Contractor as an additional insured.

6. INDEMNIFICATION

To the fullest extent permitted by law, Subcontractor shall indemnify, defend, and hold harmless Contractor and the Owner from and against any claims, damages, losses, and expenses, including reasonable attorneys' fees, arising out of or resulting from the performance of the Subcontractor's work, but only to the extent caused by the negligent acts or omissions of the Subcontractor.

7. GOVERNING LAW

This Agreement shall be governed by the laws of the State of Washington.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.